WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ETHIOPIA

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Addis Ababa	Capital and seat of the African Union; home to the Ethiopian Securities Exchange, the federal institutions and Ethiopian Airlines, Africa's largest airline	Financial services, aviation, ICT, real estate, consumer markets
Bishoftu (Oromia)	Site of a planned $10 billion international airport designed for 110 million passengers a year, with the AfDB pledging $500 million	Aviation, logistics, construction, hospitality
Addis Ababa–Djibouti corridor (via Dire Dawa)	Electric railway and road link to Djibouti's ports, the main gateway for Ethiopian trade	Rail and road logistics, dry ports, warehousing
Hawassa and the industrial parks network	Government-sponsored industrial parks built around textiles and apparel, offering duty-free machinery imports and tax holidays	Textiles, apparel, agro-processing, light manufacturing
Benishangul-Gumuz (GERD)	Grand Ethiopian Renaissance Dam, inaugurated in September 2025 with 5,150 MW of capacity, underpinning power exports including a 400 MW agreement with Kenya	Energy, power-intensive industry, transmission
Coffee highlands (Oromia, Sidama and the south-west)	Origin of Ethiopia's leading agricultural export, with coffee earnings up 47% to $1.3 billion in July–September 2025	Coffee, specialty agriculture, agro-processing
Special Economic Zones (nationwide)	Export-oriented zones that shipped $225 million of products in FY2025/26, up 80%, with foreign-exchange restrictions eased	Manufacturing, solar components, export processing

INVESTOR ENTRY ROUTES

- Ethiopian Investment Commission (EIC), reporting to the Prime Minister, provides one-stop investor services, investment permits, land and utility facilitation and aftercare
- Investment framework updated in 2020, including Investment Regulation No. 474/2020, which opened a wider range of sectors to foreign investors
- Special Economic Zones and industrial parks offering incentives such as duty-free machinery imports and tax holidays, with foreign-exchange restrictions in the zones eased under recent reforms

- Market-based exchange-rate regime since July 2024; in July 2026 the National Bank of Ethiopia cut the export surrender requirement on goods from 50% to 30% and its foreign-exchange commission from 2.5% to 1.5%
- Ethiopian Securities Exchange (launched January 2025) and the Ethiopian Capital Market Authority, offering listings, investment-bank services and a platform for state-enterprise share sales
- Partnership with Ethiopian Investment Holdings, the sovereign wealth fund overseeing around 40 state-owned enterprises, as reforms open telecoms and other sectors to private participation
- The annual Invest in Ethiopia forum, which secured $13 billion of investment commitments in March 2026

MARKET-ENTRY OBSERVATION

Ethiopia in October 2026 is one of the world's fastest-growing large economies and is two years into an ambitious, IMF-supported reform programme. Officially reported GDP growth was 9.2% in FY2024/25, and the IMF estimates growth of around 9% in FY2025/26, projecting 7.7–8.2% a year through 2031. FDI rose 8% to $4.32 billion in FY2025/26, and the Invest in Ethiopia 2026 forum secured $13 billion of commitments. Since the birr was floated in July 2024, exports have strengthened markedly — up 53% to $5.0 billion in July–December 2025, led by gold and coffee — while gross reserves rose from $3.3 billion in September 2024 to around $5.5 billion in early 2026 and tax revenue has climbed from 6.2% to an estimated 9.5% of GDP. The Ethiopian Securities Exchange, a sovereign wealth fund restructuring state assets, and the 5,150 MW GERD add new depth to the investment case.

Ethiopia's main structural task is completing its macro-financial transition: restoring external debt sustainability, consolidating the new exchange-rate regime and bringing inflation down. Progress is tangible. After the 2023 Eurobond default, Ethiopia reached an agreement in principle with bondholders on 29 June 2026 to exchange the $1 billion bond for an $880 million instrument at 6.15%, which official creditors confirmed as comparable in August 2026, clearing the path back to international markets. The IMF completed its fifth programme review in July 2026, releasing about $464 million and providing around $200 million more to absorb higher fuel costs from the Middle East war. Inflation of 14.9% in September 2026 is easing from its July peak, supported by a policy rate raised to 16%, while public debt is projected to fall from 50.5% of GDP in 2024/25 toward 28.6% by 2031. For investors, the reform path is creating early-mover openings in export sectors, capital markets and privatisation.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
External debt restructuring	Ethiopia has been in default on its sole Eurobond since December 2023, although an agreement in principle reached in June 2026 has now been endorsed by official creditors	Completion of the bond exchange under the IMF programme should restore market access; investors can align project timelines with the restructuring's final steps
Foreign-exchange transition	The birr has been market-based since July 2024 and access has improved markedly, though a gap with the parallel rate (about 11% in May 2026) persists	Hedge local-currency exposure and prioritise export-earning projects; SEZ foreign-exchange easing and lower surrender requirements improve access
Inflation	Inflation was 14.9% in September 2026, easing from a July peak of 15.3%, after falling to 9.7% in December 2025	The NBE's move to a 16% policy rate and interest-rate-based policy supports disinflation; build indexation into local pricing and contracts
Imported fuel and external shocks	The Middle East war in 2026 raised fuel and fertiliser import costs and caused temporary fuel shortages	IMF augmentation of around $200 million cushions the shock, while GERD hydropower reduces energy-import exposure and supports power exports
Regional security	Security conditions vary by region: armed activity in parts of Amhara and Oromia affected the June 2026 elections, Tigray did not vote, and relations with Eritrea remain unsettled	Focus on Addis Ababa, industrial parks and stable corridors, use professional security advisers, and monitor US-supported regional diplomacy
Landlocked logistics	Ethiopia relies heavily on Djibouti's ports, and logistics have historically accounted for a large share of final product costs	The Addis Ababa–Djibouti railway, Ethiopian Cargo and planned Bishoftu airport create opportunities in logistics, dry

Issue	Potential Impact	Possible Mitigation
		ports and air freight
State presence in key sectors	State-owned enterprises remain prominent in finance, telecoms, aviation and energy, with fiscal and SOE targets flagged in IMF reviews	Ethiopian Investment Holdings and the Securities Exchange offer partnership and share-purchase routes as liberalisation proceeds

INVESTOR RISK NOTE

Ethiopia's risk profile reflects a large, fast-growing economy midway through a far-reaching reform programme with strong international backing. The float of the birr, revenue mobilisation and monetary tightening have delivered higher exports, rising reserves and a narrowing current account deficit, and the IMF has completed five programme reviews. The external debt default of December 2023 is a material fact for any investor; its resolution is now well advanced, with a bondholder agreement endorsed by official creditors in August 2026. Inflation remains in double digits and the Middle East war has added to import costs, but the IMF judges its effects on growth and prices so far as modest. Security conditions differ by region, and investors should commission site-specific assessments outside the main economic centres. Investors focused on export earnings, energy-linked industry and the opening of capital markets are best placed to benefit as reforms mature.

MARKET ACCESS

Ethiopia, Africa's second most populous country with more than 120 million people, is a member of the African Continental Free Trade Area (AfCFTA), giving long-term access to a continent-wide market. Its leading export markets in 2024 were Saudi Arabia, the UAE, Germany, China and the Netherlands, and export growth is now led by gold, coffee and electricity, with power exports expanding to neighbours including a long-term agreement of up to 400 MW with Kenya. Trade flows mainly through Djibouti via the electric Addis Ababa–Djibouti railway, while Ethiopian Airlines' network of more than 140 international destinations makes Addis Ababa a major continental air hub for passengers and cargo. As host of the African Union, Ethiopia also offers diplomatic convening power that supports its regional positioning.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Abiy Ahmed)	Leads the Homegrown Economic Reform agenda; the Prosperity Party won 438 of 547 seats in the June 2026 election	Primary reference point for strategic direction and flagship projects
Ethiopian Investment Commission (EIC)	National investment agency reporting to the Prime Minister; issues permits and provides one-stop services	Standard first point of contact for market entry, incentives and aftercare
National Bank of Ethiopia (Governor Eyob Tekalign)	Central bank managing the market-based birr, the 16% policy rate and foreign-exchange rules	Relevant for currency access, repatriation and banking matters
Ministry of Finance	Leads the IMF programme, the budget and the external debt restructuring	Key counterpart on fiscal incentives, public-private partnerships and sovereign matters
Ethiopian Investment Holdings (EIH)	Sovereign wealth fund overseeing around 40 state-owned enterprises, including Ethiopian Airlines Group	Principal partner for privatisation, co-investment and state-asset opportunities
Ethiopian Capital Market Authority and Ethiopian Securities Exchange	Regulator and exchange for a capital market launched in January 2025, with more than 70 companies in the listing pipeline	Route to listed equity, debt instruments and investment-banking partnerships
Ethiopian Airlines Group	Africa's largest airline by passengers, fleet and revenue, and sponsor of the Bishoftu airport project	Key partner for aviation, logistics and air-cargo-linked investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The annual Invest in Ethiopia forum, organised with the Ethiopian Investment Commission, is the principal platform for meeting government and deal-making, and secured $13 billion of commitments in 2026. The Ethiopian Chamber of Commerce and Sectoral Associations, the Addis Ababa Chamber of Commerce and the American Chamber of Commerce in Ethiopia provide business liaison, and the Ethiopian Capital Market Authority's regional capital market summits offer access to the emerging financial sector. The IMF, the World Bank — which is expected to provide $3.75 billion in support of the reform programme — and the African Development Bank are active partners, and Addis Ababa's role as host of the African Union and the UN Economic Commission for Africa makes it a natural centre for continental networking.

INVESTOR PROFILE BEST SUITED

Ethiopia suits investors with a medium- to long-term horizon who can benefit from early positioning in a large, liberalising market: export-oriented manufacturers using Special Economic Zones and industrial parks; agribusiness and coffee investors; energy and power-intensive industry building on GERD; logistics and aviation-linked investors; and financial-services and portfolio investors positioning ahead of capital-market deepening and state-enterprise share sales. Investors with export earnings or hard-currency revenue are best placed to manage the foreign-exchange transition.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Ethiopian Investment Commission early
Open dialogue with the EIC to confirm sector eligibility, permit requirements and available incentives, and to secure one-stop support for land and utilities.

STEP 2: Structure for export earnings and currency management
Prioritise export-oriented models, use Special Economic Zone facilities and build hedging and indexation into plans for local-currency exposure.

STEP 3: Track the debt restructuring and IMF programme milestones
Follow completion of the Eurobond exchange and the sixth IMF review, which will shape sovereign risk, financing costs and market access.

STEP 4: Explore privatisation and capital-market opportunities
Engage Ethiopian Investment Holdings and the Ethiopian Securities Exchange on co-investment, share sales and listings as state assets open to private capital.

STEP 5: Commission site-specific security and logistics due diligence
Assess conditions region by region and plan supply chains around the Djibouti corridor and Addis Ababa's air-cargo hub.